The Motivated
Mind Group

MMG Global LLC — WBENC Certified Women-Owned

Sales Commission Agreement

This Sales Commission Agreement (this "**Agreement**") is entered into as of ____________________ (the "**Effective Date**"), by and between **MMG Global LLC**, an Arizona limited liability company d/b/a The Motivated Mind Group, with its principal place of business at 260 S Arizona Ave, Chandler, AZ 85225 ("**MMG**" or the "**Company**"), and **Jeff Gibbs** (the "**Sales Representative**"). MMG and the Sales Representative are each a "**Party**" and together the "**Parties**."

1. Purpose

This Agreement establishes the terms under which the Sales Representative earns commissions on sales of MMG products and services. It is designed so that the commission basis for every engagement is known, fixed, and agreed *before* the customer signs — eliminating post-sale recalculation and dispute.

2. Definitions

1. **"Approved Contract Value"** means the total selling price of a customer engagement as stated in the customer proposal, statement of work, or contract approved by MMG management, as such value may be increased or decreased solely by an approved Change Order.
2. **"Approved Pricing Worksheet"** means the internal pricing worksheet prepared by MMG for each proposal before it is sent to the customer, setting out the Approved Contract Value, the Approved Direct Delivery Costs, and the resulting Commissionable Gross Profit, and approved in writing (including email or electronic approval) by MMG management.
3. **"Approved Direct Delivery Costs"** means, for a given engagement, solely (a) the labor costs of MMG employees specifically budgeted for that engagement, and (b) the labor costs of approved subcontractors and freelancers (including, without limitation, video production, instructional design, animation, and specialized consulting talent) specifically budgeted for that engagement, in each case as identified in the Approved Pricing Worksheet. Approved Direct Delivery Costs expressly **exclude** all company overhead and operating expenses, including without limitation rent, executive salaries, software subscriptions, marketing, general and administrative expenses, and office overhead.

4. **“Commissionable Gross Profit” or “CGP”** means the estimated gross profit established and approved by MMG Global LLC at the time a customer proposal or statement of work is approved. CGP equals the Approved Contract Value less the Approved Direct Delivery Costs identified in the Approved Pricing Worksheet. Once approved, the Commissionable Gross Profit shall remain **fixed** for commission purposes and shall **not** be adjusted for actual project costs, internal efficiencies, write-offs, scope changes, or project profitability, unless the customer contract value is increased or decreased through an approved Change Order.
5. **“Change Order”** means a written modification to a customer contract, approved by both MMG management and the customer, that increases or decreases the Approved Contract Value. Upon approval of a Change Order, MMG will prepare a revised Approved Pricing Worksheet and the CGP will be adjusted accordingly for amounts invoiced on or after the Change Order date.
6. **“Gross Profit”** means, for commission purposes, the Commissionable Gross Profit (CGP) as defined above — the Approved Contract Value less the Approved Direct Delivery Costs shown on the Approved Pricing Worksheet. Gross Profit for commission purposes is always the locked CGP figure, never actual or accounting gross profit.
7. **“Named and Approved Account”** means a customer account — or a defined portion of a customer account, such as a specific division, business unit, buying group, or opportunity — that the Sales Representative has requested in writing and that MMG has expressly approved in writing as commissionable for that Sales Representative (recorded in Exhibit B). MMG may grant, deny, scope, condition, or prospectively revoke any such approval in its sole discretion. Approval of a portion of an account does not make any other portion of that account commissionable. Commissions under Section 4 are earned **only** on Named and Approved Account engagements.
8. **Default — no commission without approval.** Every account, and every portion of an account, that is not a Named and Approved Account of the Sales Representative is non-commissionable. No designation, writing, or other action by MMG is required to make or keep an account non-commissionable.
9. **“Plan Year”** means the calendar year. Cumulative revenue for the tier schedule in Section 4 resets to zero at the start of each Plan Year.
10. **“Cumulative Named-Account Revenue”** means the running total of Approved Contract Value of the Sales Representative's Named and Approved Account engagements approved during the Plan Year, measured in the order the Approved Pricing Worksheets are approved.
11. **“Commission Rate”** means the incremental tier rate(s) set out in Section 4.2, applied to Gross Profit (CGP).
12. **“Net Customer Payment”** means amounts actually received by MMG from the customer, net of refunds, credits, and chargebacks.

> **Plain-language summary (not a substitute for the terms above):** Commission is calculated on the profit estimate locked when the quote is approved — Approved Contract Value minus budgeted employee and approved subcontractor labor. If the project later runs over or under budget, the commission basis does not change. Only a customer-approved change order changes it.

3. Illustrative Example

Item	Amount
Approved Contract Value (Sales Price)	$100,000
Approved Direct Delivery Costs (estimated employee + approved subcontractor labor)	$55,000
Commissionable Gross Profit (CGP)	**$45,000**

Whether the project ultimately runs over or under budget, commission on this engagement is calculated on $45,000.

4. Commission Plan — Named and Approved Accounts

1. **Scope — approval required.** Commissions are earned only on Named and Approved Account engagements sold by the Sales Representative and accepted by MMG. The Sales Representative must request account approval in writing before pursuing commissionable business; MMG may approve, deny, or scope the request (including limiting approval to a specific division, business unit, buying group, or opportunity within a larger account) in its sole discretion. All other business is non-commissionable by default.
2. **Incremental tier schedule.** The Commission Rate starts at 25% and is capped at 35%, which is reached once Cumulative Named-Account Revenue exceeds $500,000. It steps up as Cumulative Named-Account Revenue grows during the Plan Year. Rates are **incremental (marginal)**: each rate applies only to the Gross Profit (CGP) attributable to revenue falling within that band — crossing a threshold does not retroactively change the rate on earlier revenue. If a single engagement spans a threshold, its CGP is apportioned pro-rata between the bands.

Tier	Cumulative Named-Account Revenue (Plan Year)	Commission Rate (% of Gross Profit)
1	First $250,000	25%
2	Over $250,000 up to $500,000	30%

3	**Over $500,000**	**35% (cap)**

3. **Sample payout.** Illustration only, assuming Gross Profit (CGP) equals 45% of Approved Contract Value in every band. Actual Gross Profit per engagement comes from its Approved Pricing Worksheet.

Revenue band	Revenue in band	Gross Profit in band (45%)	Rate	Commission in band	Commission as % of Revenue	Cumulative commission
$0 – $250,000	$250,000	$112,500	25%	$28,125	11.25%	$28,125
$250,000 – $500,000	$250,000	$112,500	30%	$33,750	13.5%	$61,875
$500,000 – $750,000	$250,000	$112,500	35% (cap)	$39,375	15.75%	$101,250
$750,000 – $1,000,000	**$250,000**	**$112,500**	**35% (cap)**	**$39,375**	**15.75%**	**$140,625**

4. The applicable tier rate(s) for an engagement are fixed at Approved Pricing Worksheet approval, based on Cumulative Named-Account Revenue at that time, and are stated on the worksheet alongside the CGP.
5. No commission accrues on any proposal that lacks an Approved Pricing Worksheet. MMG will prepare and approve a pricing worksheet for every proposal before it is sent to the customer.
6. Actual project profitability — favorable or unfavorable — has no effect on commissions. Cost overruns, scope creep absorbed without a Change Order, staffing decisions, vendor changes, internal inefficiencies, and write-offs neither reduce nor increase the commission basis.
7. Discounts approved by MMG management before proposal approval are reflected in the Approved Contract Value. Post-approval discounts or concessions granted by MMG without a Change Order do not reduce CGP.

5. Earning, Payment, and Adjustments

1. **When earned.** Commission on an engagement is earned proportionally as Net Customer Payments are received by MMG, in the ratio that each Net Customer Payment bears to the Approved Contract Value.

2. **When paid.** Earned commissions are paid no later than the last day of the calendar month following the month in which the corresponding Net Customer Payment is received.
3. **Non-payment by customer.** If a customer fails to pay, commission is due only on amounts actually received. Commissions previously advanced on amounts later refunded or charged back will be offset against future commission payments.
4. **Change Orders.** If a Change Order increases or decreases the Approved Contract Value, the CGP is recalculated per the revised Approved Pricing Worksheet and applied prospectively.
5. **Splits.** Any commission splits between representatives on a Named and Approved Account will be documented in a written schedule approved by MMG management before proposal approval.

6. Termination

1. Either Party may terminate this Agreement at any time, with or without cause, upon written notice.
2. Following termination, the Sales Representative remains entitled to commissions on engagements with an Approved Pricing Worksheet dated before the termination date, to the extent Net Customer Payments on those engagements are received by MMG within ninety (90) days after the termination date. No commissions are due on payments received after that period or on engagements approved after the termination date.
3. Nothing in this Agreement modifies the at-will nature of any employment relationship or creates an obligation of continued engagement.

7. Records and Dispute Resolution

1. The Approved Pricing Worksheet is the conclusive record of the commission basis for each engagement. MMG will provide the Sales Representative a copy of each Approved Pricing Worksheet (or the CGP figure derived from it) at or before proposal approval.
2. Commission statements will accompany each commission payment. The Sales Representative must raise any dispute in writing within sixty (60) days of the statement date; statements not disputed within that period are deemed accepted.
3. The Parties will first attempt in good faith to resolve any dispute through direct negotiation between the Sales Representative and MMG's CEO or designee.

8. Confidentiality

The Sales Representative shall keep confidential all non-public MMG information, including pricing worksheets, cost structures, commission terms, customer lists, and deal terms, both during and after the term of this Agreement, and shall use such information solely to perform under this Agreement.

9. General Provisions

1. **Governing law.** This Agreement is governed by the laws of the State of Arizona, without regard to conflict-of-laws principles. Venue for any action lies in the state or federal courts located in Maricopa County, Arizona.
2. **Entire agreement.** This Agreement, together with any written schedules and Approved Pricing Worksheets referenced herein, is the entire agreement of the Parties regarding sales commissions and supersedes all prior oral or written commission arrangements.
3. **Amendment.** This Agreement may be amended only in a writing signed by both Parties. MMG may amend the Commission Rate prospectively for future engagements upon thirty (30) days' written notice.
4. **Severability; waiver.** If any provision is held unenforceable, the remainder stays in effect. No waiver of any breach waives any other breach.
5. **No assignment.** The Sales Representative may not assign this Agreement or any right to commissions without MMG's prior written consent.
6. **Counterparts; electronic signature.** This Agreement may be executed in counterparts and by electronic signature, each of which is deemed an original.

Exhibit A — Approved Pricing Worksheet (Template)

Field	Entry
Customer / Engagement	
Proposal / SOW reference & date	
Approved Contract Value	$
Estimated MMG employee labor	$
Estimated approved subcontractor / freelancer labor	$
Approved Direct Delivery Costs (total)	$
Commissionable Gross Profit (CGP)	**$**
Cumulative Named-Account Revenue before this engagement	$
Applicable tier rate(s) per Section 4.2	%

Commission at approval	$
Management approval (name / date)	

Exhibit B — Named and Approved Accounts

Accounts (or scoped portions of accounts) requested by the Sales Representative and approved in writing by MMG as commissionable. Anything not listed here is non-commissionable by default. MMG may amend this list in writing at its sole discretion.

Named and Approved Account	Approved scope (whole account / division / opportunity)	Approval date

MMG Global LLC
d/b/a The Motivated Mind Group

Signature

Name: William J. Gusmano · Title: Co-Founder & CEO

Date

Sales Representative
Jeff Gibbs

Signature

Name: Jeff Gibbs · Title: CRO

Date

Template — not legal advice. Have counsel review before execution.